

I.G. Whitehall, Q.C.
Deputy Judge Superior Court of Ontario

Court file: Number 11-SC-117675-D1

Plaintiff: Richer & Richer (Defendant by Counter Claim)

Counsel or Representative: Mrs. Susan Richer

Defendant: Monica Kos (Plaintiff by Counter Claim)

Counsel or Representative: Self Represented

Date of Hearing: Motion in Writing

Decision - Motion to Dismiss the Defendant's Claim

The Defendant by way of the Defendant's Claim brings this motion to strike the Defendant's Claim (Counter Claim). For the reasons that follow, I allow the Motion.

By way of introduction, the Motion came before me on the day scheduled for the trial of the main action and for the counterclaim. As of that time the Plaintiff Richer & Richer (hereafter Richer) filed its Motion materials. The Defendant had not. In order to avoid yet another adjournment (seventh), I indicated that I would hear the Plaintiffs claim and consider the motion at the end of the Plaintiff's claim. In light of the less than elegant pleadings, I also thought that I may better understand the context once I heard the evidence in the main claim. As a result the Plaintiff's and the Defendant's evidence was heard on the main claim. It occupied all of the day allocated for the trial. I then made some trial management directions, specifically, I ordered that the Defendant (the Respondent in the Motion) may file her motion materials on May 16, the Plaintiff was to file its submission on the Motion on the 20th of May and Mrs. Kos her submission on the Motion on May 28, 2014. The only material I received was the plaintiff's submission on its motion to strike the Counter Claim. I received a letter dated from Mrs. Kos dated May 15, 2014, filed with the court on May 20, 2014, seeking an extension of time to June 13, 2014 to file her materials. (In passing I should note that the letters suggests that I ordered Mrs. Kos to obtain legal advice. I made no such order). In any event no further materials were filed as of June 17, 2014. It seems that the Defendant decided not to file any further materials or answer the Motion. That is her right, but the decision on the motion should not be delayed any longer.

For the purposes of this motion it may be convenient to set out a summary of the facts that are not in dispute:

On November 27, 2007 Ms Kos was charged with assault and failing to provide the necessities of life to her aged mother. It is not necessary to set out the details of the criminal charge, suffice to say that on August 30, 2010 the Defendant was convicted after a lengthy trial. (R. v. Kos-Rabcewicz-Zubkowski, 2010 ONCJ 780). The substance of the case before the learned Judge is reflected in the following:

[31] *Defence Counsel submits that because the mother did not testify, there is no evidence as to whether or not the mother would have consented to the assault.*

[32] *I find that there is evidence that there was no consent. Mr. Demarbre testified that the forcefulness of the yelling it was initially drew his attention to the incident. He testified that the upsets was visible in the mother's face. He described her cries and her attempts to get back into the residence or repel the force that was being used to push her out of the residence. Objectively, as a result of that evidence, it has been established that the mother was not consenting to being pushed out of her home.*

[55] *Having reviewed the law, and considered all of the submissions of counsel, I find that the danger of freezing, frostbite or other injury was foreseeable and that Monica Kos is guilty, on November 26, 2007 of failing to provide the necessities of life to Halina Kos and thereby endangering her life or at a minimum of putting her in conditions that were likely to cause or endanger her health permanently. She will be convicted of that offence.*

Mrs. Richer in her submissions sets out the chronology of events in the criminal case which gave rise to the Defendant's claim. They are supported by the record and the oral evidence. The significant dates are August 30, 2010 when the judge gave his decision and convicted the defendant on both counts. The sentencing hearing commenced on October 27, 2010 and completed on November 3, 2010. On that day the Defendant was sentenced to 22 days of imprisonment According to Kehoe J's endorsement (Ex. 1), Mrs. Kos was sentenced to 22 days with pre-trial custody of 8 days (1 for 1). Subsequently, she was assisted by the Mrs. Richer, on a *pro bono* basis, with her appeal preparation, but Mrs. Kos was referred to another counsel for the purpose of any appeal, as Mrs. Richer did not do appeal work. Mrs. Kos as part of her claim indicates that she was incarcerated as a result of her conviction.

The Defendants Claim is stated in some five hand-written pages and generally relate to the manner Mrs. Richer handled her criminal defence. The cause of action is that Mrs. Richer's representation of Mrs. Kos was negligent. I reviewed the claim, and the allegations relate to the conduct of the trial, specifically: failing to stop the Crown from "extensive and unnecessary questioning of the plaintiff", failing to lead some weather information, failing to obtain a "publication ban" of the trial. I have not ignored the fact that Mrs. Kos also alleges that the Notice of Appeal "failed to state in the grounds of appeal that the court convicted and sentenced the plaintiff by the defendant's claim of failing to provide the necessities of life solely on the false evidence regarding temperature provided by the police witness Brenda McGillvray" however there is no allegation that this Notice was ever filed or that failure to make the statement had any impact whatsoever. At most it is based on an assumption (unlikely) that failure to make this assertion would have had an impact on the outcome of any appeal. That is a bare assumption. As noted by Dickson J. (as he then was) in *Operation Dismantle v. The Queen*, [1985] 1 S.C.R. 441:

27. *We are not, in my opinion, required by the principle enunciated in Inuit Tapirisat, supra, to take as true the appellants' allegations concerning the possible consequences of the testing of the cruise missile. The rule that the material facts in a statement of claim must be taken as true for the purpose of determining whether it discloses a reasonable cause of action does not require that allegations based on assumptions and speculations be taken as true. The very nature of such an allegation is that it cannot be proven to be true by the adduction of evidence. It would, therefore, be improper to accept that such an allegation is true. No violence is done to the rule where allegations, incapable of proof, are not taken as proven.*

The test for striking out pleadings is not in dispute. The question at issue is whether the disputed claims disclose a cause of action, assuming the facts pleaded to be true. If it is plain and obvious that a claim cannot succeed, then it should be struck out: see *Hollick v. Toronto (City)*, 2001 SCC 68 (CanLII), 2001 SCC 68, [2001] 3 S.C.R. 158, at para. 25; *Hunt v. Carey Canada Inc.*, 1990 CanLII 90 (SCC), [1990] 2 S.C.R.

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959, at p. 980. The jurisprudence makes it perfectly clear that the party seeking to have the action struck bears a very heavy onus. As stated in Hunt:

Thus, the test in Canada governing the application of provisions like Rule 19(24)(a) of the British Columbia Rules of Court is the same as the one that governs an application under R.S.C. O. 18, r. 19: assuming that the facts as stated in the statement of claim can be proved, is it "plain and obvious" that the plaintiff's statement of claim discloses no reasonable cause of action? As in England, if there is a chance that the plaintiff might succeed, then the plaintiff should not be "driven from the judgment seat". Neither the length and complexity of the issues, the novelty of the cause of action, nor the potential for the defendant to present a strong defence should prevent the plaintiff from proceeding with his or her case. Only if the action is certain to fail because it contains a radical defect ranking with the others listed in Rule 19(24) of the British Columbia Rules of Court should the relevant portions of a plaintiff's statement of claim be struck out under Rule 19(24)(a).

Accordingly, for the purposes of the motion I will assume that the allegations of fact in the Defendant's claim are true for the purposes of the motion. As it is evident, the moving party bears the heavy onus of demonstrating that the case has no chance of succeeding. Is it "plain and obvious" that the plaintiff's statement of claim discloses no reasonable cause of action?

There is jurisprudence suggesting that in a professional negligence case the question when any damage occurred is deferred if an appeal had been taken from the conviction and the conviction is reversed. Mr. Justice Gray in *Beuthling v. Hayes et al*, 2011 ONSC 1203, held that limitations did not start running in that case until it was determined that the conviction was wrongful

[47] *In my view, this reasoning applies equally to a case where it is alleged that incompetence of counsel has resulted in a wrongful conviction. I see no meaningful distinction between the negligence of a police officer that gives rise to a wrongful conviction and the incompetence of a lawyer that gives rise to a wrongful conviction. The cause of action is not complete until the plaintiff can establish that the conviction was, in fact, wrongful. So long as a valid conviction is in place, the plaintiff cannot do so. Indeed, as long as the conviction is in place, it is highly doubtful that the plaintiff could attack the validity of the conviction for the purpose of establishing a right to damages as a result of his lawyer's conduct: see Toronto (City) v. Canadian Union of Public Employees, Local 79, 2003 SCC 63 (CanLII), [2003] 3 S.C.R. 77. See also Fischer v. Halyk 2003 SKCA 71 (CanLII), (2003), 229 D.L.R. (4th) 67 (Sask. C.A.).*

Gray J relied on McLachlin CJ in *Hill v. Hamilton-Wentworth Regional Police Services Board*, 2007 SCC 41 (CanLII), [2007] 3 S.C.R. 129:

96. *The limitation period for negligent investigation begins to run when the cause of action is complete. This requires proof of a duty of care, breach of the standard of care, compensable damage, and causation. A cause of action in negligence arises not when the negligent act is committed, but rather when the harmful consequences of the negligence result. (See G. Mew, The Law of Limitations (2nd ed. 2004), at p. 148, citing L. N. Klar et al., Remedies in Tort (loose-leaf), ed. by L. D. Rainaldi, vol. 4 (release 5), c. 27, at para. 217, n. 23.)*

97. *As discussed above, the loss or injury as a result of alleged police negligence is not established until it is clear that the suspect has been imprisoned as a result of a wrongful conviction or has suffered some other form of compensable harm as a result of negligent police conduct. The wrongfulness of the conviction is essential to establishing compensable injury in an action where the compensable damage to the plaintiff is imprisonment resulting from a wrongful conviction. In such a case, the cause of action is not complete until the plaintiff can establish that the*

conviction was in fact wrongful. So long as a valid conviction is in place, the plaintiff cannot do so. (Emphasis in the original)

Therefore, if a conviction is not reversed then there is simply no cause of action because, to quote Mr. Justice Gray:

[44] *This is not a case like a slip and fall accident or a motor vehicle accident. This is a case of a wrongful conviction. It is a case where the criminal law process has been brought to bear on a person charged with an offence, a conviction has been registered, and the convicted person has been sentenced. If the convicted person has been properly convicted, the incompetence of counsel is of no moment. In that circumstance, counsel's incompetence has not led to any damage for which the law will compensate that person. Conversely, in my view, it is only where the conviction can be shown to be wrongful that the plaintiff can be said to have suffered damage for which he or she can be compensated. (Empasis added)*

The case before Gray J was heard on January 20, 2011. However, the Ontario Court of Appeal held that the cause of action was complete as soon as the conviction was registered and sentencing was complete (see: Mark Harris and Fiona Harris, Appellants (Plaintiffs), and Lorne Levine, Respondent (Defendant) [2011] O.J. No. 3338; 2011 ONCA 530.) I (note that the Court of Appeal's decision post-dates Justice Gray's decision as it was delivered in July 2011.

In any event, my view the cases may be reconciled having regard to s. 5(1)(b) of the Limitations Act. The Limitations Act, 2002, SO 2002, c 24, ss. 4 and 5 provide:

4. *Unless this Act provides otherwise, a proceeding shall not be commenced in respect of a claim after the second anniversary of the day on which the claim was discovered. 2002, c. 24, Sched. B, s. 4.*

Discovery

5. (1) *A claim is discovered on the earlier of,*

(a) the day on which the person with the claim first knew,

(i) that the injury, loss or damage had occurred,

(ii) that the injury, loss or damage was caused by or contributed to by an act or omission,

(iii) that the act or omission was that of the person against whom the claim is made, and

(iv) that, having regard to the nature of the injury, loss or damage, a proceeding would be an appropriate means to seek to remedy it; and

(b) the day on which a reasonable person with the abilities and in the circumstances of the person with the claim first ought to have known of the matters referred to in clause (a). 2002, c. 24, Sched. B, s. 5 (1).

Presumption

(2) A person with a claim shall be presumed to have known of the matters referred to in clause (1) (a) on the day the act or omission on which the claim is based took place, unless the contrary is proved. 2002, c. 24, Sched. B, s. 5 (2).

Therefore so long as a conviction remains undisturbed the limitation period runs from the day it is registered the arguably that is the first day on which "a reasonable person with the abilities and in the

circumstances of the person with the claim first ought to have known of the matters referred to in clause (a). As noted by Perell J in *Lipson v. Cassels Brock & Blackwell LLP*, 2011 ONSC 6724:

[152] Mr. Lipson relies on Beuthling v. Hayes, 2011 ONSC 1203 (CanLII), [2011] O.J. No. 858, 2011 ONSC 1203 to argue that the limitation period did not start running until a settlement was reached with Canada Revenue. Beuthling v. Hayes was an action for solicitors' negligence by Mr. Beuthling, who alleged that because of his lawyer's incompetence, he had been wrongfully convicted for sexual assault. Justice Grey dismissed the defendant lawyer's motion for summary judgment based on a limitation period defence. Justice Grey concluded that the limitation period did not begin to run until Mr. Beuthling's conviction had been set aside because that would have been the earliest that he would have known that he had a chance to succeed in recovering a judgment for damages against his lawyer.

[153] The Beuthling case does not assist Mr. Lipson. In the circumstances of a wrongful conviction because of a lawyer's failure to meet the standard of care of a competent defence lawyer, the client might know that the lawyer was incompetent at the time of the conviction and the client would have suffered damages as at the time of the conviction; however, the client could not know that he or she had a claim for solicitor's negligence until the conviction was set aside. The setting aside of the conviction is not a crystallization of damages, which would have already incurred, nor is it the perfection or completion of the constituent elements of the negligence action, which would also have occurred; rather, the setting aside of the conviction is the discovery that this claim exists. In this regard, the client's situation in Beuthling is analogous to Central Trust in Central Trust v. Rafuse, where Central Trust suffered damages at the moment when the lawyers provided negligent services but Central Trust did not discover it had a claim for [page 715] solicitor's negligence until the validity and enforceability of the mortgage was challenged. (Emphasis added)

This is consistent with other jurisprudence dealing with limitation periods. The Applicant, Mrs. Richer referred me to *Lawless v. Anderson*, 2011 ONCA 102. Ruleau JA for the Court states the law as follows:

[21] The appellant's position can best be summarized by the statement in her factum that, "The missing link for discoverability was a medical opinion based on the patient charts." In my view, this misinterprets the case law. On the facts of this case, the appellant had knowledge of the material facts on which the claim was based following her meeting with Dr. Weinberg. The case law does not provide that obtaining the patient charts and a medical opinion are necessary to discover a claim where the charts and medical opinion add nothing of significance to the plaintiff's knowledge.

[22] The principle of discoverability provides that "a cause of action arises for the purposes of a limitation period when the material facts on which it is based have been discovered, or ought to have been discovered, by the plaintiff by the exercise of reasonable diligence. This principle conforms with the generally accepted definition of the term 'cause of action' – the fact or facts which give a person a right to judicial redress or relief against another": Agonie v. Galion Solid Waste Material Inc. 1998 CanLII 954 (ON CA), (1998), 38 O.R. (3d) 161 (C.A.), at p. 170.

[23] Determining whether a person has discovered a claim is a fact-based analysis. The question to be posed is whether the prospective plaintiff knows enough facts on which to base an allegation of negligence against the defendant. If the plaintiff does, then the claim has been "discovered", and the limitation begins to run: see Soper v. Southcott 1998 CanLII 5359 (ON CA), (1998), 39 O.R. (3d) 737 (C.A.) and McSween v. Louis 2000 CanLII 5744 (ON CA), (2000), 132 O.A.C. 304 (C.A.).

Likewise in *E.B.F. by her Litigation Guardian J.M. and J.M. v Her Majesty the Queen in Right of Ontario*, the Attorney- General for Ontario, Dr. Marcia Shapir, the Children's Aid Society of the County of Lanark and town of Smith's Falls, Heather Zambrato et al, 2013 ONSC 2581 Justice Chiappetta at paragraph 19 and 20:

[19] Similarly, I do not accept the argument that the s. 5(2) presumption is rebutted because J.M. only knew a claim of false arrest was appropriate after consulting with counsel upon the completion of Mr. Klatt's investigation.

The results of the investigation may have informed the strength of J.M.'s claim but knowledge that the claim existed as a means to remedy an arrest for which he believed he was innocent, was reasonably known to him, in my view, on the date of arrest.

[20] Nor do I agree the need for legal advice rebuts the said presumption. As noted above, the record does not support this. Moreover, a finding as such would be contrary to the fundamental purposes of limitation periods; certainty, evidentiary and diligence rationales. (See *Frohlick et al v. Pinkerton et al* (2008), 88 O.R. (ed) 401 (C.A.), at para. 18). As stated by Justice Low in *Boyce v. Toronto (City) Police Services Board*, 2011 ONSC 53 (CanLII), 2011 ONSC 53, [2011] O.J. No. 7 at para. 35:

... [T]he effect of s.5 (1)(a)(iv) is not to create a limitation period that varies with the state of legal knowledge of the claimant. One of the chief purposes of any limitations regime is to foster certainty. The construction of s. 5 (1)(a)(iv) urged on behalf of the plaintiff would have the exact opposite effect as the limitation period would lengthen proportionately with the degree of ignorance of the claimant.

[21] I find therefore that J.M.'s claim in the common law tort of false arrest and false imprisonment and breach of Charter rights crystallized on the date of arrest and not the date of the conclusion of the prosecution that arose from the arrest. As such, the claim against the Crown Defendants is statute barred.

On the evidence filed by Mrs. Kos as part of her claim I find that sentencing was complete on November 3, 2010. In her claim Mrs. Kos sets out the details of her damage and states that she was incarcerated at the Ottawa-Carleton Detention Center in November 2010. Reading the Exhibit 1 including Justice Kehoe's endorsement as well as the Notice of Appeal filed as part of Mrs. Kos case, I conclude that she started to serve her sentence on November 3, 2012. In her "Details of Damages" the damages arising out of Mrs. Richer's alleged negligence relate solely to the treatment she received from other inmates while she was incarcerated. As part her claim Mrs. Kos filed in this proceeding (Exhibit "L") a "Notice of Appeal for Inmate Appeal" dated November 12, 2012. However, there is no evidence before me whether the appeal was in fact filed or whether the appeal proceedings proceeded. The Notice of Appeal itself does not bear a court stamp, on page 3, it appears to be signed in the original and most crucially, nowhere in her claim does Mrs. Kos state that an appeal has been filed or is pending. Nor is there any suggestion that the conviction was reversed by the Court of Appeal as was the case the Beuthling case. In my view absent a positive statement by Mrs. Kos in her claim that her conviction was reversed or at least that there is an appeal pending I am entitled to assume that the conviction stands. The Defendant's claim was served and filed on December 20, 2012 more than two years after the conviction was registered. By then all the elements of her claim were known to Mrs. Kos. There was nothing more to discover. I would therefore conclude that Mrs. Kos claim is statute barred.

The applicant did not argue its case on the basis that the claim does not disclose a reasonable cause of action and therefore it would not be appropriate for me to consider that issue, I simply note that the

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decision of the *Supreme Court of Canada in Hill v. Hamilton-Wentworth Regional Police Services Board*, (supra) would have supported such an argument, particularly as there is no allegation that the conviction was overturned on appeal.

On May 9, because of the way the case came before me and in particular since Mrs. Kos filed no responding materials to the motion, I decided that we should proceed with the trial of the plaintiff's claim, and adjourn the motion both to provide Mrs. Kos with an opportunity to file her materials on the motion and to give me a better understanding of the context for the case. As a result I heard the evidence on the main action, and some additional evidence which according to Ms Kos is also relevant to her defence to the claim for fees. Regrettably, we could not complete the evidentiary portion of the case, with the result that both the main case and the defendants claim were adjourned, giving Ms Kos an opportunity to file her materials on the Motion by May 16, and granting a time schedule to make written submissions on both the motion and the main case. The counterclaim was adjourned pending the resolution of the motion to strike the claim. I have come to the conclusion that the defendant's claim is statute barred and must be dismissed. However, as Ms Kos may be under the impression that she may have another opportunity to lead further evidence in the main action, and since I received no submissions from the Plaintiff on the main action, I decided that a further oral hearing ought to be had limited to the plaintiffs' claim for their fees. At that time Mrs. Kos may lead whatever additional relevant evidence she wishes to call on the main action relating to the Plaintiff's claim for fees, and Mrs. Richer may call her reply evidence, if any. I will also hear at that time oral submissions (limited to the main action and costs).

Order

The Defendant's Claim is dismissed with costs to be addressed at the same time as the main action is concluded.

The Court Registry will fix a date for the continuation of the main action and for submission on costs.

DATE: June 17, 2014

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